

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1

To: Donald Ho, Audit Partner
From: Audit engagement team
Date: XXX
Subject: Significant risks of GO-VR

This memorandum is written regarding the accounts and the related assertions which are considered as significant risks in the 2020 management accounts of Go-VR.

Go-VR belongs to an industry subject to a high level of vulnerability because consumers are looking for new entertainment. It reached its peak in 2014 but since then, due to direct and keen competition when other VR parks were introduced, it has suffered a downturn in this industry.

The continuous drop in the number of visitors with a much larger magnitude in recent years and the suffering of an operating loss has further indicated that Go-VR has been facing a more severe and difficult situation in 2020.

Based on the information of visitors published by Go-VR and the above analysis, the following accounts with assertions should be identified as significant risks:

- The occurrence of revenue may be materially misstated: The number of visitors has decreased by around 70% but revenue has only decreased by 20%. The decline percentage in revenue did not align with the downward trend as indicated by the decrease in the number of visitors in 2020.
- The accuracy of revenue may be materially misstated: Go-VR has introduced various promotional offers with a variety of discounts and different price cuts. Due to the complexity of the ticket pricing, such offers may not be properly accounted for.
- The accuracy of management bonus may be materially misstated: The management performance bonus increased by 140% from HK\$500,000 to HK\$1.2 million while the revenue and profitability of Go-VR decreased significantly. This unusual relationship could indicate a material error of its accuracy.
- Management fraud may exist: Number of visitors is a key performance indicator for management because it is linked to the management bonus distributed annually. Such personal financial pressure increase the likelihood of management fraud.
- Valuation of the non-current assets may be materially misstated: In view of the current severe competition faced by Go-VR, impairment provision may be required for non-current assets, including property, plant and equipment and right-of-use assets. Impairment assessment would involve significant management judgement and estimations which have a higher risk of material misstatement.

Conclusion:

The above accounts and the related assertions are considered as significant risks based on the available information currently known to us. The audit engagement team will timely consider any new information should it come to light during the audit process.

Answer 2(a)

The related party relationship and transactions between Go-VR and its parent company comprise the presence of the parent company's senior management as Go-VR's sole directorship, purchases of fixed assets from its parent company, and monthly management fees paid to the parent company.

The excessive participation by the parent company in Go-VR has increased the risk of material misstatement of its financial statements.

The domination of management by its sole director who is the senior management of the parent company could give rise to significant risk of material misstatement due to fraud. His oversight over the related party transactions with the parent company may be compromised and any controls over these transactions may not be objective and hence not effective. Significant management override may give rise to significant fraud risk which is related to these related party transactions.

Property and equipment are the significant assets of Go-VR. As Go-VR purchases the game machines solely from its parent company, it is unable to source supplies from the open market, which may limit the choices of its purchases. Further, as all these purchases are set at a price which allows its parent company to earn a 30% margin, it may be difficult to substantiate that the price is at arm's length. Accordingly, this related party transaction may give rise to increased risk because it may not be conducted under normal terms and conditions.

The monthly management fees paid to the parent company may lack an audit trail and may not have adequate supportable evidence to substantiate the amounts being charged. As the aggregate fees payable to the parent company account for 50% of the total administrative expenses of Go-VR, it could also give rise to increased risk. In addition, as one of the users of the financial statements is the tax bureau, any unsupported expenses may have consequences with tax filing which may cause understatement of tax expenses.

Answer 2(b)

The auditor shall inquire of management the types and the purposes of these related party transactions to understand the underlying business rationale.

The auditor shall also inspect the agreements (if any) entered between Go-VR and its parent company for the purchase of the fixed assets, particularly any basis to support the pricing, such as benchmarking to quoted prices obtained from open market or other third-party suppliers.

The auditor shall inspect any service agreement or documentary evidence (if any) to understand the basis of the monthly charges of the administrative and accounting functions provided by the parent company.

The auditor shall review the management meeting minutes to ascertain if these related party transactions are properly considered and approved.

The auditor shall review Go-VR's tax return filing and correspondences communicated by the tax bureau. The auditor shall also review the transfer pricing study (if any) conducted by the management or external tax consultant engaged by Go-VR.

The auditor should obtain any understanding of the entity level control over related party transactions and ascertain if these controls are deficient or non-existent.

The auditor can enquire with the out-going auditor to ascertain the risk level of these related party transactions in prior years.

Answer 3

The audit team should perform the following procedures to audit the goodwill arising from the acquisition of Go-Kart:

- Obtain the sale and purchase agreement for Go-Kart to verify the amount of consideration. Identify if there are any variable considerations which may affect the calculation of goodwill.
- Obtain the share transfer document or legal document for the registration of Go-VR as the holding company of Go-Kart. Assess whether acquisition has been completed and whether the date of acquisition has been appropriately used for the determination of the fair value of the identifiable assets and liabilities.
- Obtain the valuation report provided by the external valuer and enquire the external valuer for the basis of its valuation and assess the external valuer's competence and objectivity to perform such valuation. Evaluate if the valuation methodology applied is appropriate. Verify the data used in the valuation report. When possible, involve an internal valuation expert to assist the audit team for such evaluation.

- Obtain a list of machineries and vehicles at the date of acquisition and reconcile the items to the year end register. Perform physical inspection of the machineries at the year-end date or a different date for this reconciliation.
- Obtain all the lease agreements signed by Go-Kart. Re-calculate the calculation of right-of-use assets based on terms as set out in this agreement. Obtain the underlying schedule which supports the calculation of the lease liabilities by reference to these lease agreements, and evaluate the appropriateness of the use of estimates such as the discount rate for the calculation of such liabilities at the acquisition date.
- Obtain the underlying schedules of the trade and other receivables, trade and other payables and the bank balances, and verify the material balances by inspecting the supporting documents such as invoices, suppliers' statements and bank statements.
- Enquire with the management to identify any intangible assets and unrecorded liabilities of Go-Kart.
- Review the subsequent payment of Go-Kart to assess if there are any unrecorded liabilities which should have been considered when calculating the goodwill.
- Reperform the calculation and perform arithmetical check of the management's schedule.

Answer 4(a)

If the management can obtain a waiver from the bank, the audit team should examine any written documentation issued by the bank. Based on the evidence obtained, the audit team should evaluate whether the presentation of such bank loans in current or non-current liabilities is appropriate in accordance with the relevant accounting standards. In addition, disregarding whether the bank loans will be presented as current or non-current liabilities, the audit team should also consider whether the breach of covenants should be disclosed in the financial statements to provide useful information to the users of the financial statements.

Answer 4(b)

If the management cannot obtain any waiver from the bank, the bank loans will become immediately due, which will result in a net current liabilities situation at the year-end date. The audit team should enquire the management regarding its remediation plan to repay the bank loans within the next 12 months. The audit team should assess whether the management remediation plan can support the going concern assumption of the financial statements. The audit team should also consider whether adequate disclosure has been made in the financial statements for the support of going concern basis in the financial statements.

If material uncertainties relating to going concern exist, the audit team should consider including a paragraph in the audit report to draw the financial statements readers' attention of such material uncertainties.

If the audit team concludes that the use of going concern assumption for the preparation of the financial statements is not appropriate, the audit report should be modified.

Answer 5

The following measures or controls can be established:

- Enter into a written service agreement between Go-VR and Go-Kart which sets out the terms and conditions for the charges of the administrative and accounting services.
- Establish a reasonable basis to determine the fee charged, e.g. based on number of headcount input by Go-VR, or based on the number of hours spent on Go-Kart by the respective personnel.
- Separate management maintained by Go-VR and Go-Kart.
- Each local management evaluates if the fee charges are at market term. They can compare the upcoming fee charges to the historical costs incurred by Go-Kart's own staff.
- Incorporate fair terms in the agreement. For example, both parties have the right to terminate the agreement. The fees are subject to review by both parties on a regular basis.
- Document the management evaluation and evidence the proper approval by local management in the directors' meeting.
- Local management should monitor the pricing of these fees in accordance with the terms as set out in the agreement.
- A monthly invoice should be provided by Go-VR to set out how the fees are drawn and local staff should reconcile these fees to the terms set out in the respective agreement.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 6(a)

Though Joshua and Martin were primary school classmates, they did not meet for more than 30 years but just have bumped into each other in a recent school alumni dinner. They are not familiar with each other. The familiarity threat and self-interest threat are considered low. Martin may lead MNM & Co to participate in the audit service proposal.

Answer 6(b)

A painting bought from a gallery is usually not trivial and inconsequential. Especially during this sensitive time when MNM & Co is being assessed in the bidding of the audit service to Joshua's bank, Martin should not give the painting to Joshua as a gift as this may be considered an inducement which could impair the independence of MNM & Co.

Answer 6(c)

As Joshua has only introduced to Martin the mortgage plans that his bank offers to the market, Joshua has not offered any preferential benefits to Martin, thus this is not considered as an inducement to Martin by Joshua and does not heighten the self-interest threat for Martin.

Answer 6(d)

MNM & Co as the auditor of Joshua's retail bank should not perform the valuation of the private equity investments for Joshua's bank as the valuation service would have a material effect, individually or in the aggregate, on the financial statements of the bank. This may create a self-review threat where MNM & Co will perform audit procedures against its valuation of the private equity investments and impair the independence of MNM & Co.

Answer 7(a)

The relevant changes to the board composition should include the following:

The roles of Chairman and Chief Executive Officer should be separated and should not be performed by the same individual. The division of responsibilities between the Chairman and Chief Executive Officer should be clearly established and set out in writing. Kin Tai Gor should no longer take up both the roles as the Chairman and Chief Executive Officer of Kin Hong Tong.

In addition, the Hong Kong Stock Exchange Main Board Listing Rules specify that there must be at least three independent non-executive directors on the board of directors for listed companies, representing at least one-third of the board. It should include a balanced composition of executive and non-executive directors (including independent non-executive directors) so that there is a strong independent element on the board which can effectively exercise independent judgement. Currently, Kin Hong Tong has no non-executive directors. Kin Hong Tong should appoint at least three independent non-executive directors.

Furthermore, the board should have a balance of skills, experience and diversity of perspectives appropriate to the requirements of the listed company's business. Currently, all executive directors of Kin Hong Tong are very experienced in the industry and business operation of Kin Hong Tong in Hong Kong. However, none of them is specialised in financial reporting and management or has experience running businesses overseas. Kin Hong Tong should consider appointing another director who has expertise in finance and accounting, especially when Kin Hong Tong plans for IPO. Kin Hong Tong should also consider recruiting a director who has the relevant experience of running businesses in Taiwan and Singapore.

Answer 7(b)

The total net assets of Kin Hong Tong amounted to HK\$49 million as at 31 December 2019, of which total assets amounted to HK\$52 million and total liabilities amounted to only HK\$3 million. Given that the 10 retail stores of Kin Hong Tong are operating under its self-owned properties, under this business mode there are no right-of-use assets and lease liabilities that have arisen from the operating lease. Therefore, the total liabilities of Kin Hong Tong as at 31 December 2019 were relatively minimal compared to its assets. Apart from performing searching for unrecorded liabilities, no specific audit procedures are proposed to be performed on the liability opening balances.

The property, plant and equipment and financial assets at fair value through profit or loss are the largest assets of Kin Hong Tong as at 31 December 2019, representing 50% and 28% of its total assets, respectively. Considering the significance of the opening balances of these financial statements line items, additional audit procedures are planned to be performed.

(i) Property, plant and equipment

- Obtain breakdown of property, plant and equipment as at 31 December 2019 from management and identify the fixed asset items with material cost value/net book value as at 31 December 2019;
- Perform land search on the 10 self-owned stores of Kin Hong Tong to ensure these properties are under the title of Kin Hong Tong as at 31 December 2019;
- Perform site visits to the 10 self-owned stores of Kin Hong Tong;
- For fixed asset items with material cost value/ net book value as at 31 December 2019, inspect purchase documents such as sales invoices or sales agreements and relevant payment records/bank statements;
- Assess the appropriateness of the fixed asset depreciation policy adopted by Kin Hong Tong; and
- Perform reasonableness test of accumulated depreciation of the fixed asset items with material cost value/net book value as at 31 December 2019.

(ii) Financial assets at fair value through profit and loss

- Inquire and obtain from management any broker statements as at 31 December 2019 to ascertain if these investments were held by Kin Hong Tong as at 31 December 2019;
- If no broker statements are available, obtain from management and sight the shareholder certificates of these investments; and
- Since these equity and bond investments are with market quote, perform internal search to check against the market prices of these investments as at 31 December 2019.

Answer 8(a)

The proposed audit scope and related rationale:

- No detailed audit work is proposed for Spotless Beauty as it generated no external revenue during the year and its assets as at year end and losses for the year represented only 8% and 8% of the group's total assets and profit, respectively, which are not considered as material. However, Spotless Beauty will be subject to high level analytical review.
- Though Sub B generated no external revenue during the year and its assets at year end and losses for the year represented only 2% and 7% of the group's total assets and profit, respectively, which are clearly immaterial, there were audit adjustments in two consecutive years relating to research cost capitalisation and related intangible asset recognition, so the risk of material misstatements in research and development expenses and intangible assets is high. Specified audit procedures are proposed to be performed for these two financial statement line items.
- Sub D contributed 41% and 32% respectively to the group's revenue and profit for the year. Sub D is considered as an individually financial significant component of the group and therefore full scope audit is proposed.

Answer 8(b)

The proposed audit procedures of the group engagement team should include the following:

- Assess the competence and independence of the component auditor;
- Be involved in the component auditor's risk assessment to identify significant risks of material misstatement of the group financial statements;
- Issue group audit instructions to the component auditor setting out the audit scoping, materiality, specific audit requirements, expected deliverables and reporting time, etc;
- Determine the nature, timing and extent of its involvement in the work of the component auditor in the Netherlands;
- Review the component auditor's overall audit strategy and audit plan (including the control reliance strategy at the component, IT audit strategy, etc);
- Discuss with the component auditor regarding the business activities of Sub E (mainly revenue recognition) and the audit procedures to be carried out;
- Discuss with the component auditor the susceptibility of the component to material misstatement of the financial information due to fraud or error by considering fraud risk factors;

- Review the component auditor's documentation of identified significant risks of material misstatements. This may be in the form of a memorandum including the conclusions drawn by the component auditor;
- Review the group reporting deliverables from the component auditor and consider significant findings reported by the component auditor;
- Review the component auditor's working papers;
- Maintain ongoing communication with the component auditor (e.g. progress meeting, audit clearance meeting, etc); and
- Give appropriate advice to the component auditor.

Answer 9(a)

The relevant audit procedures include the following:

- Meet with the IT team of Happy Bee Limited to confirm the structure and organisation of the IT team;
- Confirm with the IT team of Happy Bee Limited that there were no system process and control changes to IT general controls during the year and review the latest system processes and controls documentation;
- Check the system version and the latest date of system change shown in the system to confirm there were no changes to the system design and configuration during the year;
- Generate the system access log from the system to check whether only the system administrator had access to the system configuration and restricted access setting;
- Generate the system changes log from the system to check what changes have been made to the system;
- Confirm with the management/IT team the processes and controls on system restricted access monitoring and review;
- Obtain the system restriction setting and test if only valid persons are granted access to the system; and
- Review the system access log to confirm whether the invalid persons (e.g. resigned staff) have accessed the system and ask management to provide a reason if access was made.

Answer 9(b)

The possible IT application controls over revenue recognition of Happy Bee Limited include the following:

- The system can check and notify customers of product availability. If products are not available, the system will not allow customers to continue the transactions;
- The system can automatically calculate the total sales amount of each transaction based on products ordered by respective customers;
- The system can issue sales invoices to customers in sequential order;
- The system can check and match each customer payment to the respective sales transaction;
- The system can track the delivery time and recognise the relevant sales in the sales ledger; and
- The system can automatically calculate and recognise the cost of goods sold of each sales transaction based on data from the inventory record.

* * * **END OF EXAMINATION PAPER** * * *